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Municipal Finance in India: Some Critical Issues

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Municipal Finance in India: Some Critical Issues

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Abstract

With the help of the available literature, the paper attempts to assess critically the main problems of municipal finances in India and to bring out the challenges that the municipalities face with respect to revenue generation and expenditure management. The main findings suggest that the urban local bodies in India are confronted with lack of proper decentralization of functions and finances, inadequate revenue generation, expenditure shortfalls leading to poor service delivery. It also analyses the suggestions and recommendations that have been offered in the literature to cope with these critical challenges relating to urban finance.

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Introduction

About 377 million Indians comprising about 31 per cent of the country's population live in urban areas, with an average annual addition of 8 million (Census 2011). As far as the proportion of urban population is concerned, India is behind the other emerging economies like China (45 per cent), Indonesia (54 per cent), Mexico (78 per cent) or Brazil (87 per cent) but is closer to Burma (34 per cent) and Guinea (35 per cent). The share of persons living in urban areas in India rose by 3.4 per cent in the decade 2001 to 2011 while it had risen by only 2.1 per cent in the decade 1991 to 2001. Recent projections show that by 2031, about 600 million Indians will reside in urban areas, an increase of over 200 million in just 20 years (Twelfth Five Year Plan) If we rank the cities in the world by population, Mumbai and Delhi are among the top ten and Kolkata among the top 15 (if population density is the criterion for ranking) all these three Indian megacities are among the top 6 cities in the world (World Urbanization Prospects, 2011 revision, online data UN, Department of Economic and Social Affairs).

Estimates by the Central Statistical Organisation, available for a few years, indicate that the share of the urban sector in Gross Domestic Product (GDP) of India increased from 38 per cent in 1970–71 to 52 per cent in 2004–05. The mid-term appraisal of the Eleventh Five Year Plan projected the urban share of GDP at 62–63 per cent in 2009–10, which is at present around two thirds of the GDP and it is likely to become 75 per cent in 2021 (India 2008).

There is a concentration of the urban population in large cities and existing urban agglomerations. As per census 2011, there are 53 million plus cities accounting for about 43 per cent of India's urban population. Also, the increase in the number of towns in India from 5,161 in 2001 to 7,935 in 2011 can be primarily attributed to the growth of small towns around agglomerations. A recent study by the World Bank also shows that the peri-urban areas in the vicinity of large cities are centres of intense economic activities (India Urbanisation Review: Urbanisation beyond Municipalities 2012). In the Twelfth Five Year Plan, there is a shift of focus in policies with equal importance on small and big towns rather than concentrating on big cities.

A look at the key indicators of the major urban services reveals that there is a failure to achieve even moderate success in service delivery. 70.6 per cent of the urban population has individual water connection with duration of water supply ranging between one to six hours a day. Most Indian cities do not have water metering system for residential establishments. Non revenue water accounts for 50 per cent of water production. Even partial sewerage network is not there in 4,861 cities. 13 per cent of urban households do not have any form of latrine, less than 20 per cent of the road network is covered by storm water drainage, scientific disposal of solid waste is not there in most of the cities (Twelfth Five Year Plan).

The Report of High Powered Expert Committee (HPEC) for Estimating the Investment Requirements for Urban Infrastructure Services estimates Rs 3.92 million crores as the investment needs to provide urban services conforming to national benchmarks for urban infrastructure over a period 2012-31.The operations and maintenance costs would amount to another Rs.2 million crores (Ahluwalia HPEC 2011).

Municipal revenues constitute a minimal share in India's GDP. The Eleventh and Twelfth Finance Commissions data show that the ratio was around 0.7 per cent which according to Thirteenth Finance Commission has gone up to 0.94 per cent in 2007-08.The share of municipal revenues in combined state and central revenues have declined from 3.71 per cent in 1990-91 to 2.43 per cent in 2000-01(Mohanty et al 2007). Thirteenth finance Commission data reflects that the municipal tax to GDP ratio is a meager 0.5 per cent as compared to central tax to GDP ratio at 12 per cent and states' tax to GDP ratio at 5.6 per cent for 2007-08, while Property tax to GDP ratio is only 0.25 per cent.

The problem of financing infrastructure needs in the Indian cities becomes more relevant in the context of inclusive growth because there is a considerable dependence of the rural sector on urban development. With the urban sector contributing an overwhelming share of growth, an overall sustained growth for the economy places a lot more demand on the performance of the cities (Twelfth Five Year Plan). The efficiency in financial management is the main driver of performance of the cities. In what follows we attempt a detailed literature review on the problems and prospects of urban finances in India.

Urban Finance in India: Summary Findings

Own revenues, consisting of tax (of which the property tax is a major source) and non tax revenues declined to 53 percent of the total revenues of Municipalities in India in 2007-08 from 63 per cent in 2002-03 (Twelfth Five Year Plan). The rest is accounted for by grants, assignment and devolution by State Governments, grants from Central Government and Finance Commissions. Various ways of augmenting the resources of the municipal bodies in the country, including essential reforms in the property tax system and adequate exploitation of user charges and fees for various services delivered as well as ways of strengthening and improving central and state transfers to urban local governments, are explored in Rao and Bird (2010, 2011). With respect to financing urban infrastructure, judicious use of development charges and effective collections from public lands are recommended in general. In addition, development of the municipal bond market is also advocated for financing capital expenditures. Similar recommendations are made in the Twelfth Five Year Plan. The Twelfth Five Year Plan proposes that charges should be levied on the additional floor space index (FSI) provided. Further, the charges on the additional FSI and the land-use conversions should be at last 50 per cent of the actual land value of the area in question. Also, the Twelfth Five Year Plan proposes that apart from the revenues collected from the FSI, urban local bodies (ULBs) collect other "land value based instruments" like development charges, betterment fees etc.

In what follows we would summarise the literature on different sources of municipal revenues in India. In the absence of a Municipal Finance List, we attempt to collect the different tax and non tax sources from Municipal Acts which are listed in section 1 and 2 of the Appendix. We start with property tax which, being identified as a major source of own revenues, has been the main subject of research on urban finance in India. We also cover studies on other taxes, non tax components and user charges. The issues related to intergovernmental transfers and role of Finance Commissions are also discussed in the light of the available literature. Some issues related to municipal borrowing from different sources are also covered.

Property Tax

Studies on property tax focus on a few crucial areas in India like assessment methodology, coverage of properties, collection efficiency and amending the rent control laws to overcome assessment constraints. Jawaharlal Nehru National Urban Renewal Mission (JnNURM) and Urban Infrastructure Development Scheme for Small and Medium Towns (UIDSSMT) gave a lot of emphasis on property tax reforms, particularly the assessment component, stressing upon mapping of properties using the Geographic Information System (GIS), making the system capable of self-assessment, rationalizing exemptions and improve collections to about 85 per cent. As a consequence of this, research and evaluation studies are undertaken assessing the impact of property tax reforms on municipal finances in India. However, even after the first phase of JnNURM is over, the results are not satisfactory (Twelfth Five Year Plan).The main recommendations include improved methods of property tax assessment, accompanied by appropriate administrative reforms. The property surveys and usage of GIS technology should happen as a complete package to ensure full coverage of the properties. Computerization of property taxes, regular revision of rates, more user friendly tax system and making tax enforcement a priority are also proposed.

Assessment of properties is one of the biggest challenges for the ULBs which are plagued with issues like unscientific methods, lack of transparency and issues with incomplete records of properties. There are no formal and standard practices for having the property counts. Apart, from these there are also political interests that prevent the collection of the property taxes leading to low collection efficiency (Gnyaneswar 2009).

The ULBs in India are in different stages of implementation of reforms in valuation of properties ranging between purely Annual Rental Value and Capital Value based on unit area characteristics. There are ULBs who apply a hybrid method of rental valuation based on location and characteristics of the building, and tax is calculated on the basis of this rental value. A review of property tax reforms (National Institute of Urban Affairs (NIUA), 2010) on the basis of 10 selected cities viz. Ahmedabad, Bangalore, Bhubaneswar, Chennai, Hyderabad, Indore, Kolkata, Ludhiana, Patna and Pune shows that cities like Patna, Indore, Chennai, Hyderabad, Bangalore and Ahmedabad have already moved to the “unit area assessment system” while Kolkata and Bhubaneswar are yet to implement the unit area system (although the municipal laws have been amended). Patna and Ludhiana have continued with the system of Annual Ratable Value (ARV). Out of these 10 cities, 6 cities have a collection efficiency of property taxes of more than 70 per cent. Bangalore has experienced a sharp rise in the property tax revenues after moving to the unit area based approach, while Ahmedabad has benefitted through technical advancements like usage of the GIS system which led to the highest number of assessed properties per 1,000 population.

Legal framework plays a prominent role in realizing the gains from a transformation in the valuation methods. Gnaneshwar (2009) in his study based on municipal corporations from Andhra Pradesh, Tamil Nadu and Karnataka established that the gains in Karnataka from moving to a self assessment property tax system has been the maximum because of the fact that in Karnataka, the reform has been executed with a revision in the legal framework whereas in the other two states the existing legal provisions were used. There also have been substantive efforts